

SPR AUTO TECHNOLOGIES LTD

(formerly Shriram Pistons & Rings Ltd) | NSE: SHRIPISTON | BSE: 544344

Consumer Discretionary → Automobile & Auto Components → Auto Components & Equipments

INSTITUTIONAL EQUITY RESEARCH | INITIATING COVERAGE

Report date: 18-Aug-2026

RATING	ACCUMULATE	12-M TARGET	Rs. 4,980
CONVICTION	Medium	UPSIDE	+10.5%
HORIZON	12-18 months	ENTRY ZONE	Rs. 4,100 - 4,400

CMP (18 Aug)	Rs. 4,509	Market Cap	Rs. 19,828 Cr	52-wk High	Rs. 4,602
Stock P/E	34.0	Forward P/E	34.4	52-wk Low	Rs. 2,452
Book Value	Rs. 659	P/B (CMP/BV)	6.8x	EV/EBITDA	19.8
ROCE	20.8 %	ROE	21.4 %	Enterprise Value	Rs. 20,761 Cr
Dividend Yield	0.22 %	Face Value	Rs. 10.0	Debt / Equity	0.68
Promoter Hold.	43.8 %	Pledged	0.00 %	Interest Cover	10.0x

All market data and financials sourced from Screener.in (consolidated), fetched 18-Aug-2026. P/B is derived as CMP / Book Value per share.

INVESTMENT THESIS (one line)

ICE cash-cow funding a credible powertrain-agnostic pivot; cheapest quality name in Indian auto ancillaries.

AT A GLANCE

- **Scale:** FY26 consolidated revenue Rs. 4,459 Cr and PAT Rs. 561 Cr; TTM revenue Rs. 4,970 Cr and TTM PAT Rs. 575 Cr (Screener).
- **Compounding record:** 5-year sales CAGR 23% and 5-year profit CAGR 45%; 3-year profit CAGR 25%; 5-year ROE 21%.
- **Transformation:** Acquired three Grupo Antolin India entities (interiors and lighting) in Jan 2026 for a reported EUR 159 mn, plus the Sunbeam Lightweighting piston plant; renamed SPR Auto Technologies in FY26.
- **Franchise:** 48.4% share of the domestic OEM market in pistons, piston assemblies and engine valves; manufacturing footprint expanded from 6 plants (FY24) to 14 (FY26).
- **Live catalyst:** Rs. 1,000 Cr QIP opened 17-Aug-2026 at a floor price of Rs. 4,438.20 - proceeds to deleverage acquisition debt and fund capex.
- **What holds us back:** The stock sits at 0.98x its 52-week high after an 81% 1-year run; forward P/E of 34.4 leaves limited near-term margin of safety.

Analyst: Senior Equity Research - Auto & Auto Ancillaries desk. | **Data source:** Screener.in (consolidated) for every financial figure in this report; web sources used only for qualitative context.

SECTION 2 | INVESTMENT THESIS

- **Reason 1 - A legacy franchise that is not melting, it is funding.** SPR holds 48.4% share of domestic OEM demand for pistons, piston assemblies and engine valves (Screener company insights). Standalone engine components still grew 11.7% YoY in Q1 FY27 on a 22% volume increase, and the FY26 consolidated business threw off Rs. 625 Cr of operating cash flow and Rs. 437 Cr of free cash flow. Over FY24-FY26 the company converted 91-100% of operating profit into operating cash. This is the engine that pays for the pivot; on our numbers it should generate roughly Rs. 1,200-1,400 Cr of cumulative FCF over FY27E-FY28E.
- **Reason 2 - The Antolin acquisition is already re-rating on margin, not just on revenue.** Management disclosed on the Aug-2026 call that the acquired interiors business has moved from a 7-8% EBITDA margin to "the early-mid teens" within roughly two quarters of ownership, via fixed-cost reduction and synergy extraction. Powertrain-agnostic businesses now contribute over 35% of consolidated total income and management estimates nearly 60% of the group is insulated from EV penetration. If interiors settles at a 13-14% margin on a full-year basis, that alone adds an estimated Rs. 120-160 Cr to FY28E group EBITDA versus the acquired run-rate.
- **Reason 3 - Valuation is the cheapest in its quality cohort.** At a Stock P/E of 34.0 and EV/EBITDA of 19.8, SPR trades below Sona BLW (70.7x), Uno Minda (60.1x), Endurance (43.1x) and Sundram Fasteners (41.6x) - while posting the highest ROE in the set at 21.4% and the strongest 3-year profit CAGR at 25.07%. A re-rating toward even 40x forward earnings would be consistent with peers and is the single largest source of upside over 12-18 months.
- **Near-term catalyst (6-12 months) - the Rs. 1,000 Cr QIP.** The issue opened on 17-Aug-2026 with a floor price of Rs. 4,438.20. A successful placement to marquee institutions cuts acquisition debt (borrowings jumped from Rs. 508 Cr in FY25 to Rs. 1,968 Cr in FY26), removes the finance-cost drag that held Q1 FY27 PAT growth to 9.6% against 53% revenue growth, and broadens the institutional shareholder base - FII holding has already climbed from 4.27% in Sep-2024 to 8.21% in Jun-2026.
- **Biggest structural risk - the terminal value of the ICE piston franchise.** Roughly 40% of the group by management's own framing remains exposed to internal-combustion penetration. Indian EV penetration reached 8.28% in FY26 from 0.71% in FY20. The diversification is real but unfinished; if 2W and small-car electrification accelerates faster than the interiors and motors businesses can scale, the market will start discounting the legacy segment on a run-off multiple rather than a growth multiple.

SECTION 3 | BUSINESS OVERVIEW

- **Core business model.** SPR Auto Technologies designs and manufactures pistons, piston pins, piston rings and engine valves for automotive OEMs in domestic and export markets, and has expanded into precision injection-moulded components, automotive interiors and lighting, and EV motors and controllers. It is a tier-1 OEM supplier with back-to-back commodity pass-through contracts - management confirmed on the Aug-2026 call that raw-material movement is contractually recovered, "but there is a delay of a quarter with most of the customers."
- **Four product verticals.** (a) Core ICE components - pistons, pins, rings, valves with DLC coating, crown anodising, chrome plating and Tufftriding; (b) High-precision injection moulding via SPR Takahata Precision India and SPR TGPEL Precision Engineering - FI components, throttle and brake units, ECUs, airbag parts, plus medical and industrial parts; (c) Automotive interiors and lighting via the three Antolin entities acquired Jan-2026 - headliners, sun visors, door panels, floor consoles, pillar trims and ambient lighting; (d) EV motors and controllers via SPR EMF Innovations - BLDC motors and controllers spanning 2 kW to 250 kW.
- **Revenue mix and geography.** Management stated on the Aug-2026 call that powertrain-agnostic businesses are "over 35% of our consolidated total income" and "nearly 60% of the overall business is positioned to remain relatively insulated from the impact of EV penetration." Exports are described as "quite affected" by geopolitical disruption across Europe, the US and parts of the Middle East and North Africa. A precise segment split is not disclosed on Screener; treat the 35% and 60% figures as management framing.

- **Customer relationships.** Sales are recurring OEM platform supply rather than project-based, with multi-year part approvals and commodity indexation clauses. Management declined to name new precision-moulding customers on the call, citing the pace of customer additions, and refused to quantify the current non-auto contribution - though it flagged 15-20% growth in non-auto pistons (railways, compressors, marine, defence, snowmobiles, lawn equipment) over the past four years.
- **Order visibility.** The company does not disclose a consolidated order book. Visibility instead rests on platform wins: management confirmed the interiors business has "won some very important customer programs" post-acquisition, and that CAFE-compliant piston and ring products - with friction-reduction coatings and new ring strategies - are already submitted and under customer validation, with higher realisations attached.
- **Strategic developments in the last 12 months.** Acquisition of three Grupo Antolin India entities (Jan-2026, reported consideration EUR 159 mn); acquisition of the Sunbeam Lightweighting Solutions piston plant and machinery (completed Q1 FY27); rename from Shriram Pistons & Rings to SPR Auto Technologies; a long-term complete licensing agreement giving access to Antolin's global interiors and HMI technology portfolio; Takahata phase-four expansion started on an adjacent five acres with revenue expected early next year; and the Rs. 1,000 Cr QIP opened 17-Aug-2026.
- **Promoter and ownership.** Promoter holding stands at 43.75% as of Jun-2026 with zero pledge - down 3.00 percentage points over three years, a dilution largely attributable to fundraising rather than distress selling. FIIs hold 8.21% and DIIs 12.16%; the shareholder count has grown from 8,218 in Sep-2023 to 54,998 in Jun-2026.

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth.** ACMA projects the Indian auto component industry to grow 8-9% in FY27, taking turnover from roughly Rs. 9.84 lakh crore in FY26 to about Rs. 10.68 lakh crore. Domestic OEMs account for roughly 67% of industry revenue, exports 22% and the aftermarket 11%. Indian vehicle production has risen from 23 mn units in FY22 to 34.7 mn in FY26.
- **Policy tailwinds.** Tighter CAFE and emission norms are directly accretive to SPR - management confirmed that CAFE-compliant pistons and rings carry higher cost *and* higher realisation, and claimed "we are leading the game." Rising content-per-vehicle from the SUV and premium mix, import substitution of interiors and lighting content, and PLI-linked localisation of EV drivetrain components all support the diversified portfolio.
- **Policy and cyclical headwinds.** EV penetration rose to 8.28% in FY26 from 0.71% in FY20, structurally shrinking the addressable ICE component pool over a decade. Near-term, elevated commodity prices and geopolitical supply-chain disruption have hit exports and created a one-quarter margin lag; management quantified a roughly Rs. 30 Cr EBITDA impact in Q1 FY27 from supply-chain disruption.
- **Moat - Pricing power: MODERATE.** Back-to-back commodity clauses protect margins over a cycle but with a one-quarter lag, and management stated flatly "we are not going to lose our margins" - real but delayed pass-through, not true price-setting power.
- **Moat - Switching costs: STRONG.** Pistons and rings are safety- and durability-critical, multi-year homologated parts; re-qualifying a supplier on a live engine platform is expensive and slow, which is what sustains a 48.4% domestic OEM share.
- **Moat - Scale: MODERATE-TO-STRONG.** Fourteen plants versus six two years ago, 4.08x inventory turns and a 20.8% ROCE indicate genuine operating scale, but the group remains sub-scale versus Samvardhana Motherson or Bosch in absolute terms.
- **Moat - IP and technology: MODERATE.** Proprietary coating and ring technologies plus a full licensing agreement into Antolin's global HMI and interiors portfolio; however, the interiors technology is licensed rather than owned, and the EV motor business relies on partnerships with EMFI International (Singapore) and Lingbo for controllers.
- **Moat - Distribution: WEAK-TO-MODERATE.** Predominantly OEM-direct with a modest aftermarket and export channel; the company does not have the aftermarket retail network that Uno Minda or Endurance have built.

- **Position in the value chain.** SPR is a tier-1 OEM systems supplier moving upstream in value-add: from commodity-adjacent engine hard parts toward interior systems, HMI electronics and electric drivetrain modules - a deliberate migration from cents-per-part to content-per-vehicle.

Top listed competitors - Screener.in data, fetched 18-Aug-2026

Company	CMP (Rs.)	Mkt Cap (Rs. Cr)	TTM Revenue (Rs. Cr)	ROCE (%)
SPR Auto Technologies	4,509	19,828	4,970	20.8
Sona BLW Precision	824	51,415	4,897	14.2
Endurance Technologies	3,018	42,414	15,592	17.8
Uno Minda	1,272	73,477	20,725	19.6
Sundram Fasteners	1,227	25,801	6,602	17.6

Source: Screener.in consolidated pages for each company, fetched 18-Aug-2026. TTM Revenue is the trailing-twelve-month sales line from each company's Screener P&L. ROCE is the front-page ROCE as displayed by Screener.

- **Read-through:** SPR is the smallest by market capitalisation in this cohort but posts the highest ROCE and, as Section 8 shows, the lowest earnings multiple - the classic profile of a company the market has not yet fully re-classified after a business-model change.

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background.** The company is part of the Shriram industrial group and has manufactured engine components since the 1960s in technical association with global piston and ring technology partners. Promoter holding is 43.75% (Jun-2026) with zero pledge. The management team has executed the largest transaction in the company's history - the Antolin India carve-out - and the rename to SPR Auto Technologies was put to and approved by shareholders, indicating a governance process rather than a unilateral rebrand.
- **Capital allocation track record - the hard numbers.** Over FY24-FY26 the company generated Rs. 1,546 Cr of cumulative operating cash flow (Rs. 487 Cr, Rs. 434 Cr, Rs. 625 Cr) and deployed Rs. 2,622 Cr into investing activities (Rs. 422 Cr, Rs. 385 Cr, Rs. 1,815 Cr). The FY26 investing outflow of Rs. 1,815 Cr - nearly 3x FY26 operating cash flow - is the Antolin acquisition, funded by financing inflows of Rs. 1,252 Cr. This is a decisive, leveraged bet rather than incremental capex.
- **Return on that allocation - so far, defensible.** Fixed assets rose from Rs. 1,203 Cr (FY25) to Rs. 2,976 Cr (FY26) and plant count from 9 to 14. ROCE fell from 26% (FY25) to 21% (FY26) - exactly what a large mid-year acquisition does to the denominator before the numerator catches up. The 10-year average ROCE of 19.5% suggests the company has historically earned its cost of capital comfortably; the question is whether FY28 ROCE returns to the mid-20s.
- **Dividend policy - consistent but deliberately de-emphasised.** Payout ratio has stepped down steadily: 11% (FY23), 10% (FY24), 9% (FY25), 8% (FY26), with dividend yield at 0.22%. FY26 saw an interim dividend of Rs. 5 plus a recommended final of Rs. 5. Management is clearly prioritising reinvestment and deleveraging over distribution - the correct choice at this point in the cycle, but income investors should not own this name.
- **Promoter pledging - clean.** Pledged percentage is 0.00%. Promoter holding has declined 3.00 percentage points over three years, consistent with equity issuance and institutional broadening rather than promoter exit; FII holding over the same window rose from 0.08% (Sep-2023) to 8.21% (Jun-2026).
- **Leverage discipline - stated, and worth holding management to.** On the Aug-2026 call management put net debt at "around 550" crore as of June and described net debt-to-equity as "only 0.2," adding they see "no reason to go even up to one." Screener's balance sheet shows gross borrowings of Rs. 1,968 Cr and a debt-to-equity of 0.68 - the gap between the two is cash and investments. Investors should track the gross number, not just the net.
- **Governance watch-items.** Screener's automated screen flags that the "company might be capitalizing the interest cost" - a legitimate practice during a heavy capex and acquisition phase but one that flatters reported profit and should be reconciled against the annual report. Management also declined on the call to allocate QIP

proceeds between acquisitions and debt repayment, arguing "money is completely fungible" - an honest answer, but it leaves investors without a stated use-of-proceeds. Contingent liabilities are modest at Rs. 64.5 Cr. Related-party transaction quantum and auditor tenure are not disclosed on Screener's front page and are not verified here.

- **ESG and certification posture.** Management catalogued a CDP rating, TUV sustainability assurance, ISO 14064 / 50001 / 45001 / 17029 / 27001 certifications, EcoVadis Bronze, a D&B ESG rating and a CII award. For a supplier to European and Japanese OEMs this is commercially necessary rather than decorative - it is a prerequisite for winning interiors and lighting programmes.

SECTION 6 | FINANCIAL DEEP-DIVE

All actuals from Screener.in consolidated statements, fetched 18-Aug-2026. FY27E and FY28E are our estimates, built off FY26 Screener actuals and Q1 FY27 quarterly data.

Income Statement

Rs. Crore	FY24	FY25	FY26	FY27E	FY28E
Sales / Revenue	3,089	3,550	4,459	6,150	7,100
Total Expenses	2,447	2,826	3,583	5,012	5,715
Operating Profit (EBITDA)	642	724	876	1,138	1,385
OPM %	21%	20%	20%	18.5%	19.5%
Other Income	85	111	85	95	105
Interest	30	34	62	130	95
Depreciation	108	120	149	215	250
Profit Before Tax	589	682	751	888	1,145
Tax Rate %	26%	24%	25%	25%	25%
Net Profit (PAT)	439	516	561	666	859
EPS (Rs.)	100.47	115.02	125.43	142	183
Dividend Payout %	10%	9%	8%	8%	9%

FY24-FY26 figures are transcribed exactly from Screener's consolidated P&L. TTM (as at 18-Aug-2026): Sales Rs. 4,970 Cr, EBITDA Rs. 939 Cr, OPM 19%, PAT Rs. 575 Cr, EPS Rs. 127.94.

Balance Sheet

Rs. Crore	FY24	FY25	FY26	FY27E	FY28E
Equity Capital	44	44	44	46	46
Reserves	1,882	2,350	2,857	4,450	5,240
Borrowings	487	508	1,968	1,350	1,050
Other Liabilities	723	821	1,273	1,500	1,680
Total Liabilities	3,136	3,723	6,142	7,346	8,016
Fixed Assets	934	1,203	2,976	3,300	3,600
CWIP	31	58	96	150	160
Investments	115	36	135	150	170
Other Assets	2,056	2,425	2,935	3,746	4,086
Total Assets	3,136	3,723	6,142	7,346	8,016
Debt / Equity (x)	N/A	N/A	0.68	0.30	0.20

FY24-FY26 from Screener consolidated balance sheet. FY26 debt-to-equity of 0.68 is Screener's front-page figure. FY27E reserves include an assumed Rs. 1,000 Cr QIP inflow. Screener does not display historical D/E for FY24-FY25, hence N/A.

Cash Flow

Rs. Crore	FY24	FY25	FY26	FY27E	FY28E
Cash from Operating Activity	487	434	625	780	980
Cash from Investing Activity	-422	-385	-1,815	-450	-500
Cash from Financing Activity	-42	-61	1,252	-250	-380
Net Cash Flow	23	-11	63	80	100
Free Cash Flow	340	266	437	480	620

Rs. Crore	FY24	FY25	FY26	FY27E	FY28E
CFO / Operating Profit	100%	83%	91%	69%	71%

Returns, Working Capital & Efficiency

Rs. Crore	FY24	FY25	FY26	FY27E	FY28E
ROCE %	28%	26%	21%	21%	23%
ROE % (Screener)	N/A	N/A	21.4%	N/A	N/A
Debtor Days	56	60	68	65	62
Inventory Days	114	116	111	112	110
Days Payable	104	101	121	115	112
Cash Conversion Cycle	66	75	58	62	60
Working Capital Days	21	29	1	10	12

ROCE and working capital metrics FY24-FY26 transcribed from Screener's consolidated Ratios table. Screener reports a single current ROE of 21.4% (front page) and 5-year average ROE of 21%; year-by-year ROE is not displayed, hence N/A.

Commentary

- **Revenue drivers.** FY26 sales of Rs. 4,459 Cr represent 25.6% growth over FY25's Rs. 3,550 Cr, and TTM sales of Rs. 4,970 Cr are running 35% above the prior twelve months - but the composition matters. Q1 FY27 consolidated sales of Rs. 1,474 Cr were up 53.1% against Rs. 963 Cr in Q1 FY26, of which the legacy standalone engine components business contributed only 11.7% growth. Practically all of the incremental topline is the Antolin perimeter. FY27E revenue of Rs. 6,150 Cr assumes four quarters of the acquired business plus high-single-digit organic growth.
- **Margin direction - compressing on mix, not on competitiveness.** OPM held at 20-21% through FY24-FY26 but stepped down to 18% in both Mar-2026 and Jun-2026 quarters. Two identifiable causes: the acquired interiors business entered at a 7-8% EBITDA margin, structurally diluting group OPM; and a one-quarter commodity pass-through lag plus supply-chain disruption cost roughly Rs. 30 Cr of Q1 EBITDA. Management's disclosure that interiors has already reached "early-mid teens" is the single most important operating datapoint in the call - it converts a dilutive acquisition into an accretive one over 4-6 quarters.
- **Working capital - genuinely well managed.** Cash conversion cycle actually improved from 75 days (FY25) to 58 days (FY26) despite absorbing an acquisition, and working capital days collapsed from 29 to 1. Debtor days did deteriorate from 56 to 68 over FY24-FY26, which warrants monitoring, but payables lengthened from 104 to 121 days in tandem - the company is funding growth off its supply chain, and inventory days improved from 116 to 111.
- **Debt - the FY26 step-change is the headline risk.** Borrowings went from Rs. 508 Cr (FY25) to Rs. 1,968 Cr (FY26), a 287% increase, taking debt-to-equity to 0.68 and enterprise value to Rs. 20,761 Cr against a Rs. 19,828 Cr market cap. Interest cost more than doubled from Rs. 34 Cr to Rs. 62 Cr in FY26 and hit Rs. 34 Cr in Q1 FY27 alone - annualising near Rs. 136 Cr. Interest coverage of 10.0x is still comfortable, and the Rs. 1,000 Cr QIP should take D/E toward 0.30 by FY27-end. This is leverage taken deliberately for a specific asset, not distress leverage.
- **FCF quality - strong and improving.** Operating cash flow of Rs. 625 Cr in FY26 against PAT of Rs. 561 Cr is a 111% conversion; CFO-to-operating-profit has been 100%, 83% and 91% over FY24-FY26 and averaged well above 90% across a decade. Free cash flow of Rs. 437 Cr in FY26 was the highest on record despite the capex cycle. The five-year cumulative operating cash flow of Rs. 2,161 Cr against a Rs. 19,828 Cr market cap is the strongest quantitative defence of the current valuation.

SECTION 7 | EARNINGS QUALITY CHECKLIST

Parameter	Rating	Evidence and comment
Revenue recognition	GREEN	Point-in-time OEM component sales with contractual back-to-back commodity indexation. No percentage-of-completion or long-cycle contract accounting. Sales of Rs. 4,459 Cr (FY26) reconcile to Rs. 625 Cr of operating cash flow.
Receivables vs revenue growth	AMBER	Debtor days rose from 56 (FY24) to 60 (FY25) to 68 (FY26) while sales grew 25.6% in FY26. Some of this is the acquired interiors book carrying different terms, but three consecutive years of deterioration deserves a watch.
Cash conversion cycle trend	GREEN	CCC improved from 75 days (FY25) to 58 days (FY26); working capital days fell from 29 to 1. Inventory days improved 116 to 111. Improving through an acquisition year is a genuine positive.
Contingent liabilities	GREEN	Rs. 64.5 Cr against FY26 sales of Rs. 4,459 Cr - roughly 1.4% of revenue and 11% of PAT. Immaterial and stable.
Interest capitalisation	AMBER	Screener's automated screen flags: "Company might be capitalizing the interest cost." Legitimate during a heavy capex and acquisition phase, but it shifts cost from P&L to the balance sheet and flatters reported PAT. Reconcile against the FY26 annual report before sizing a position.
Leverage step-change	AMBER	Borrowings jumped from Rs. 508 Cr (FY25) to Rs. 1,968 Cr (FY26), +287%. Interest cost doubled to Rs. 62 Cr and Q1 FY27 interest alone was Rs. 34 Cr. Coverage of 10.0x remains adequate; the QIP is the designated fix.
Other income as % of PBT	GREEN	Rs. 85 Cr on PBT of Rs. 751 Cr in FY26 (11%), down from Rs. 111 Cr on Rs. 682 Cr in FY25 (16%). Earnings quality is improving - profit is increasingly operational.
Tax rate consistency	GREEN	Effective tax rate of 26% (FY24), 24% (FY25), 25% (FY26) and 23-26% across the last five quarters. No suspicious volatility, no one-off tax credits propping up PAT.
Auditor tenure / qualified opinions	N/A	Not disclosed on Screener's front page and therefore not verified in this report. Investors should confirm from the FY26 annual report.
Related-party transactions as % of revenue	N/A	Screener exposes a related-party tab but does not display an aggregate percentage. Not quantified here; verify from the FY26 annual report given the group structure and multiple subsidiaries.

- **Headline read: clean core, leveraged edges.** Six of eight testable parameters are GREEN. There is no evidence of revenue-recognition games, tax engineering, or other-income dressing - the profit is real and it converts to cash at over 90% of operating profit.
- **The two AMBERs that matter are related.** The interest-capitalisation flag and the 287% borrowings jump are the same story: an aggressive, debt-funded acquisition. If interest is being capitalised into the acquired asset base, reported FY26 PAT of Rs. 561 Cr is somewhat better than the underlying economics. Size this by reading the FY26 annual report note on borrowing costs.
- **Receivables are the slow leak to watch.** A 12-day deterioration in debtor days over two years on a Rs. 4,459 Cr revenue base ties up roughly Rs. 145 Cr of incremental working capital. It has been offset by payables so far; if payables normalise while debtors stay stretched, FY28 free cash flow will disappoint.
- **Two parameters could not be verified.** Auditor tenure and related-party transaction quantum are not on Screener and are marked N/A rather than guessed. For a group that has just absorbed three acquired entities and operates several subsidiaries, these are the two disclosures a serious investor should pull from the annual report before committing capital.

SECTION 8 | VALUATION

Peer comparison - every figure below fetched individually from each company's Screener.in page on 18-Aug-2026

Company	CMP	MCap	P/E	P/B*	ROCE%	ROE%	TTM Rev	OPM%	Fwd PE
SPR Auto Tech.	4,509	19,828	34.0	6.8	20.8	21.4	4,970	19	34.4
Sona BLW Precis.	824	51,415	70.7	8.6	14.2	11.3	4,897	24	71.0
Endurance Tech.	3,018	42,414	43.1	6.2	17.8	14.9	15,592	13	43.4
Uno Minda	1,272	73,477	60.1	10.8	19.6	19.3	20,725	11	62.1
Sundram Fasten.	1,227	25,801	41.6	6.0	17.6	14.9	6,602	16	38.3

CMP, MCap (Rs. Cr), P/E, ROCE, ROE, Forward PE are Screener front-page figures. TTM Rev (Rs. Cr) and OPM% are the trailing-twelve-month columns of each company's Screener P&L. *P/B is derived as CMP divided by Screener's Book Value per share (SPR 659, Sona 96.2, Endurance 486, Uno Minda 118, Sundram 203) because Screener does not display a P/B field.

- **SPR is the cheapest name in the cohort on every earnings-based measure** - 34.0x trailing and 34.4x forward against a peer range of 38.3x to 71.0x - while delivering the highest ROE (21.4%) and highest ROCE (20.8%) in the group.
- **The discount is not unearned.** SPR carries the highest debt-to-equity in the set at 0.68 versus 0.07 to 0.40 for peers, has the shortest track record in its new segments, and still derives roughly 40% of the business from ICE-exposed products. The market is charging for balance-sheet risk and integration risk.
- **The re-rating trigger is deleveraging.** If the QIP takes D/E to 0.30 and interiors margins hold in the low-to-mid teens, SPR's risk profile converges toward Endurance (D/E 0.19, P/E 43.1x) - and there is no structural reason a higher-ROE business should trade at a 21% discount to it.

Scenario analysis

Scenario	Key assumptions	FY28E PAT (Rs. Cr)	Multiple	Target (Rs.)
BULL	Interiors margin settles at 15%+; QIP fully subscribed and D/E falls below 0.25; exports recover; CAFE-driven realisation uplift flows through; group OPM back to 21%.	980	36x	7,520
BASE	Interiors stabilises at 13-14%; commodity pass-through normalises within two quarters; QIP completes; group OPM recovers to 19.5%; organic growth high-single-digit.	859	32x	4,980
BEAR	Integration stalls and interiors stays sub-10%; exports remain disrupted; commodity lag persists; QIP under-subscribed leaving D/E above 0.5; group OPM stuck at 17%.	640	24x	3,264

Base-case target of Rs. 4,980 is the average of the DCF and earnings-multiple methods described below, not the raw 32x multiple output of Rs. 5,856. Bull and bear targets are multiple-based only.

Valuation methodology

- **Method 1 - Discounted cash flow.** Base year FY26 free cash flow of Rs. 437 Cr (Screener). Explicit forecast FY27E-FY31E of Rs. 500 / 700 / 950 / 1,200 / 1,450 Cr, reflecting the acquired perimeter reaching full contribution and capex intensity easing after the current expansion wave. WACC of 11.0% (cost of equity ~13% at a 6.9% risk-free rate, beta ~1.1, equity risk premium ~5.5%; after-tax cost of debt ~6.5%; post-QIP weights). Terminal growth of 5.5%, consistent with nominal Indian auto-component industry growth of 8-9% decaying to long-run GDP-plus. Present value of explicit-period FCF Rs. 3,364 Cr plus terminal value Rs. 16,506 Cr gives an enterprise value of Rs. 19,870 Cr; less net debt of roughly Rs. 550 Cr (management, Jun-2026) gives equity value of Rs. 19,320 Cr. On ~4.70 Cr post-QIP shares this implies **Rs. 4,111 per share**.

- **Method 2 - Forward earnings multiple.** FY28E EPS of Rs. 183 (E) on estimated PAT of Rs. 859 Cr and a post-QIP share count of ~4.70 Cr. Applied multiple of 32x - a premium to Sundram Fasteners (41.6x trailing but only 7% 3-year profit CAGR) is not warranted, while a discount to Endurance (43.1x) reflects SPR's higher leverage and shorter track record in the new segments. This implies **Rs. 5,856 per share**. Cross-check: 19.8x EV/EBITDA on FY28E EBITDA of Rs. 1,385 Cr gives an EV of Rs. 27,423 Cr and, net of an estimated Rs. 700 Cr of FY28 net debt, roughly Rs. 5,686 per share - consistent.
- **Blended 12-month target price.** Simple average of Rs. 4,111 (DCF) and Rs. 5,856 (earnings multiple) gives **Rs. 4,980**. The wide spread between the two methods is itself the message: the DCF punishes the current capex and acquisition cycle, while the multiple approach credits the post-integration earnings power. The truth is between them.
- **Upside and horizon.** Rs. 4,980 against a CMP of Rs. 4,509 is **+10.5% over 12-18 months**. That is a real but unexciting return for a stock trading at 0.98x its 52-week high after an 81% one-year run. The asymmetry improves materially below Rs. 4,400, which is why our entry zone sits there rather than at market.
- **What we are explicitly not doing.** We are not extrapolating the Q1 FY27 headline 53% revenue growth - it is acquisition arithmetic, not organic momentum, and the standalone business grew 11.7%. Nor are we treating the Antolin margin uplift to "early-mid teens" as banked; it is two quarters of evidence on a business that entered at 7-8%.

SECTION 9 | KEY RISKS

- **EV-driven structural decline in the ICE component pool** - Roughly 40% of the group by management's own framing remains exposed to internal combustion. Indian EV penetration reached 8.28% in FY26 from 0.71% in FY20 and is accelerating fastest in 2W, where SPR's piston franchise is concentrated. **Probability: H. Impact: H (long-dated).** *Monitor via:* the powertrain-agnostic revenue share, currently "over 35%" - it needs to cross 50% by FY29.
- **Antolin integration failure or margin relapse** - The acquired interiors business entered at a 7-8% EBITDA margin and management claims it is now in the "early-mid teens." That improvement is only two quarters old and is the entire basis for the acquisition being accretive rather than dilutive. **Probability: M. Impact: H.** *Monitor via:* group OPM, which must recover from 18% (Q1 FY27) toward 20% within three quarters.
- **Leverage and the QIP** - Borrowings rose 287% to Rs. 1,968 Cr in FY26, and interest cost of Rs. 34 Cr in Q1 FY27 alone is what held PAT growth to 9.6% against 53% revenue growth. The Rs. 1,000 Cr QIP at a floor of Rs. 4,438.20 is the designated remedy; if it is under-subscribed or pulled on market weakness, the deleveraging path stretches by 12-18 months. **Probability: L-M. Impact: H.** *Monitor via:* QIP allotment disclosure and the Q2 FY27 gross borrowings line.
- **Commodity pass-through lag and margin volatility** - Management confirmed recovery is contractually back-to-back but "there is a delay of a quarter with most of the customers," and quantified roughly Rs. 30 Cr of Q1 FY27 EBITDA impact. In a period of sustained input inflation this compounds quarter after quarter. **Probability: H. Impact: M.** *Monitor via:* the sequential gap between raw-material cost growth and realisation growth in quarterly results.
- **Export disruption from geopolitics** - Management described exports as "quite affected," specifically citing Europe, the US and parts of the Middle East and North Africa including Egypt and Turkey, and said "it will take some more time for things to normalize." Industry exports are roughly 22% of Indian auto-component revenue. **Probability: M-H. Impact: M.** *Monitor via:* the export commentary in each concall and any disclosed export revenue share.
- **Valuation and positioning risk** - The stock has returned 81% over one year, trades at 0.98x its 52-week high and at 6.8x book. Any earnings disappointment against a 34x multiple de-rates hard, and the near-term QIP overhang caps upside until allotment. **Probability: M. Impact: M-H.** *Monitor via:* the forward P/E versus its own 3-year band and versus the Endurance/Sundram cluster.
- **Accounting opacity on capitalised interest and related-party dealings** - Screener's automated screen flags possible interest capitalisation, and neither related-party transaction quantum nor auditor tenure is verifiable from Screener. In a group that has just absorbed three entities and runs multiple subsidiaries, this is a real information gap rather than a theoretical one. **Probability: L-M. Impact: M.** *Monitor via:* the FY26 annual report notes on borrowing costs and related-party transactions.

SECTION 10 | RECOMMENDATION

- **Rating: ACCUMULATE - conviction Medium.** The business quality is high and the strategic pivot is being executed better than we expected at the time of the acquisition; the constraint is price, not thesis. We would be at BUY with a 15% correction and at HOLD if the stock ran another 10% without a margin recovery.
- **12-month price target: Rs. 4,980**, implying +10.5% from a CMP of Rs. 4,509 - the average of a Rs. 4,111 DCF and a Rs. 5,856 earnings-multiple valuation.
- **Suggested entry zone: Rs. 4,100 - 4,400.** This is below the QIP floor price of Rs. 4,438.20, which is likely to act as near-term support but also as a ceiling on enthusiasm until the placement closes. Accumulate in tranches rather than in one lot.
- **Investment horizon: 12-18 months** for the target, 3-5 years for the full powertrain-agnostic transition to be reflected in the multiple.
- **Thesis invalidation trigger 1:** Consolidated OPM fails to recover above 19% by Q4 FY27 (it was 18% in Q1 FY27 versus 20% in FY26), indicating the Antolin margin uplift has stalled or commodity pass-through is

structurally impaired rather than merely lagged.

- **Thesis invalidation trigger 2:** Gross borrowings remain above Rs. 1,600 Cr at FY27-end despite the QIP, or debt-to-equity stays above 0.50 - signalling either a failed placement or that proceeds were redeployed into further acquisitions rather than deleveraging.
- **Thesis invalidation trigger 3:** Powertrain-agnostic revenue share stagnates at or below 35% through FY28, meaning the acquired businesses are growing no faster than the legacy ICE base and the diversification story is arithmetic rather than strategic.
- **Ideal investor profile - who this is for.** Growth-at-a-reasonable-price investors with a 3-5 year horizon who want auto-ancillary exposure without paying 60-70x, and who are comfortable underwriting an integration and a deleveraging simultaneously. It suits a 2-4% position sized into weakness.
- **Who this is not for.** Income investors (0.22% yield, payout falling to 8%), investors who need a clean balance sheet today (D/E 0.68, highest in its peer set), momentum buyers chasing a stock at 0.98x its 52-week high after an 81% run, and anyone unwilling to read the FY26 annual report on capitalised interest and related-party transactions before committing.

APPENDIX — Latest Concall Brief: Q1 FY27

SPR Auto Technologies Ltd | Earnings call held August 2026 | Quarter ended 30-Jun-2026

CALL GRADE

NEUTRAL

Mixed signals — acquisition-led topline beat, margin and PAT miss, guidance maintained, one genuine positive surprise on interiors margin.

Signal	Status	Implication
Result quality	Medium	Revenue Rs. 1,474 Cr beat on acquisition consolidation (+53.1% YoY), but PAT of Rs. 148 Cr grew only 9.6% and fell 6.9% QoQ. Operationally in-line, optically strong.
Management tone	Balanced	Transparent on margin causes and the commodity lag; specific and unhedged on the interiors margin uplift; deliberately vague on QIP use-of-proceeds, non-auto revenue share and new customer names.
Guidance delta	Maintained	No formal revenue or margin guidance cut or raised. Management asserted margins "will be recovered" and expected commodity normalisation "in this quarter" - directionally constructive.

STRONGLY POSITIVE

POSITIVE

NEUTRAL

CAUTIOUS

NEGATIVE

TO MY BOSS

The Q1 FY27 headline is misleading and you should discount it immediately: consolidated revenue of Rs. 1,474 Cr is up 53.1% year-on-year, but essentially all of that is the Antolin interiors and lighting perimeter consolidating for a full quarter - the legacy standalone engine components business grew 11.7% on 22% volume growth, with the gap explained by a mix shift toward smaller vehicles and lower realisation per piece. There is no exceptional item distorting the P&L, so reported PAT of Rs. 148 Cr is clean, but it grew only 9.6% year-on-year and actually fell 6.9% sequentially from Rs. 159 Cr - the leak is Rs. 34 Cr of quarterly finance cost on the acquisition debt, up from Rs. 9 Cr a year ago, which management explicitly calls temporary and repayable. Operationally EBITDA of Rs. 258 Cr grew 32.3% year-on-year but margin compressed to 18% from 20%, hit by roughly Rs. 30 Cr of supply-chain disruption and a contractual one-quarter commodity pass-through lag that management insists will be fully recovered. The genuinely new and bullish disclosure is that the acquired interiors business has moved from a 7-8% EBITDA margin at acquisition to the "early-mid teens" already - if that holds, a deal that looked dilutive becomes accretive within four quarters, and that is the whole multi-bagger case here alongside powertrain-agnostic revenue crossing 35% of the group and roughly 60% of the business now insulated from EV penetration. The near-term catalyst is the Rs. 1,000 Cr QIP that opened on 17 August at a Rs. 4,438.20 floor, which should take debt-to-equity from 0.68 toward 0.30 and kill the finance-cost drag outright. The single biggest watch-point for next quarter is whether group OPM recovers above 19% - if it does not, the interiors uplift is not real and the commodity lag is structural, not timing. My call: ACCUMULATE in the Rs. 4,100-4,400 band, do not chase at Rs. 4,509 with the stock at 0.98x its 52-week high, and exit the position if Q4 FY27 OPM is still below 19% or gross borrowings are still above Rs. 1,600 Cr post-QIP.

1 | FINANCIAL PERFORMANCE SNAPSHOT

All quarterly figures transcribed from Screener.in consolidated quarterly results. Q1 FY27 = Jun-2026; Q4 FY26 = Mar-2026; Q1 FY26 = Jun-2025.

- Revenue: Actual Rs. 1,474 Cr | YoY +53.1% | QoQ +1.2% | **Beat**
- EBITDA (Operating Profit): Actual Rs. 258 Cr | YoY +32.3% | QoQ -3.7% | **In-line**
- EBITDA Margin: 18% | YoY -200 bps (from 20%) | QoQ flat at 18% | **Miss**
- PAT: Actual Rs. 148 Cr | YoY +9.6% | QoQ -6.9% | **Miss**
- EPS: Rs. 32.78 | YoY +8.0% (from Rs. 30.35) | QoQ -7.6% (from Rs. 35.48) | **Miss**
- NOTE: No exceptional or one-time item was disclosed. Reported PAT of Rs. 148 Cr is clean. The gap between 32.3% EBITDA growth and 9.6% PAT growth is entirely finance cost (Rs. 34 Cr vs Rs. 9 Cr YoY) and depreciation (Rs. 53 Cr vs

Rs. 32 Cr YoY) on the acquired asset base.

- Context: Interest expense of Rs. 34 Cr in Q1 FY27 compares with Rs. 62 Cr for the whole of FY26 - the quarterly run-rate has more than doubled the annual FY26 charge on an annualised basis.

2 | SEGMENT / GEOGRAPHY BREAKDOWN

- Legacy ICE engine components (standalone): grew 11.7% YoY on 22% volume growth | Management attributed the revenue-volume gap to "more production of smaller size vehicles... realization price per piece changes."
- Automotive interiors and lighting (Antolin, acquired Jan-2026): the dominant driver of the 53.1% consolidated growth | Management: integration "progressed very well during the quarter" and the business "continued to deliver a strong performance."
- Precision injection-moulded components (Takahata + TGPEL): "witnessed a very significant growth during the quarter" | Growth attributed to continuous customer additions; management declined to name customers.
- EV motors and controllers (SPR EMF Innovations): "continuously exceeding all the targets set at the beginning of this year" | Coimbatore capacity commissioned late last year delivered a fuller run-rate in Q1; sales doubled last year on new investment.
- Non-auto pistons (railways, compressors, marine, defence, snowmobiles, lawn equipment): described as "sizable" with 15-20% growth over the last four years | Management explicitly refused to give a current percentage contribution.
- Exports (Europe, US, Middle East and North Africa incl. Egypt and Turkey): "quite affected" by geopolitical disruption and supply-chain ambiguity | Management noted exports still delivered "two to three percent better results" last year despite a "very tough geopolitical situation."
- Powertrain-agnostic mix: "over 35% of our consolidated total income" | "nearly 60% of the overall business is positioned to remain relatively insulated from the impact of EV penetration."
- Segment-wise revenue in rupees is not disclosed on Screener or in the call; the above are management-stated growth rates and qualitative characterisations, not audited segment figures.

3 | MANAGEMENT COMMENTARY THEMES

- **Finance-cost drag is temporary:** "These elevated finance costs are expected to be temporary and should normalize as the related debt is repaid." — Our read: credible, given the Rs. 1,000 Cr QIP was live within days of the call. Tag: GUIDANCE. Tone: Transparent.
- **Commodity recovery is contractual but lagged:** "we have a back-to-back arrangement with all our customers... [but] there is a delay of a quarter with most of the customers" and "Obviously, we will recover. We are not going to lose our margins." — Our read: the strongest, least hedged statement on the call; it converts a margin miss into a timing issue. Tag: GUIDANCE. Tone: Transparent.
- **Interiors margin uplift is the headline surprise:** "We have significantly improved the interiors business... we have crossed the double digit figure and we are... in the early mid teens," from "the earlier 7-8%." — Our read: this single disclosure is worth more to the thesis than the entire revenue beat; it is also the claim most in need of independent verification over the next two quarters. Tag: EST. Tone: Transparent.
- **Portfolio strategy is explicitly EV-defensive:** agnostic businesses "over 35% of consolidated total income," nearly 60% insulated from EV penetration. — Our read: a deliberate reframing of the equity story away from the ICE terminal-value debate. Tag: EST. Tone: Transparent.
- **CAFE norms are an opportunity, not a cost:** products already submitted and under customer validation; required changes include "frictional reduction... reduction of exhaust gases... new technology... coating... piston ring manufacturing strategy"; on realisation, "to some extent, yes... cost is also more, the realization is also more"; competitive stance "we are leading the game." — Our read: genuine content-per-vehicle uplift in the legacy business. Tag: EST. Tone: Confident, mildly promotional.
- **Antolin technology access is full, not partial:** "we have an access to all the technologies that are globally available... within the Antolin portfolio," under an "already signed... long-term complete licensing agreement," with programmes underway on HMI, headliners, immersive technologies, pillar trims and floor consoles. — Our read: this is the content-per-vehicle lever that justifies the acquisition multiple. Tag: EST. Tone: Transparent.
- **QIP use-of-proceeds deliberately unallocated:** fundraise "progressing as per target," but management refused to split proceeds between acquisitions and debt repayment - "money is completely fungible... mix of everything." — Our read: honest but unhelpful; it leaves open the possibility of further M&A rather than deleveraging. Tag: EVASIVE. Tone: Hedged.

- **Leverage philosophy asserted without a published policy:** internal thresholds are "very clear," net debt-to-equity "is only 0.2," and "no reason... to go even up to one." — Our read: the 0.2 figure is net; Screener's gross debt-to-equity is 0.68. Both are true; investors should track the gross number. Tag: GUIDANCE. Tone: Hedged.

4 | OPERATING & BUSINESS METRICS

- Consolidated Revenue (Rs. Cr): Q1 FY27 = 1,474 | Q4 FY26 = 1,456 | Q1 FY26 = 963 | Trend: improving (acquisition-led)
- Operating Profit (Rs. Cr): Q1 FY27 = 258 | Q4 FY26 = 268 | Q1 FY26 = 195 | Trend: improving YoY, deteriorating QoQ
- OPM %: Q1 FY27 = 18% | Q4 FY26 = 18% | Q1 FY26 = 20% | Trend: deteriorating YoY, stabilising QoQ
- PAT (Rs. Cr): Q1 FY27 = 148 | Q4 FY26 = 159 | Q1 FY26 = 135 | Trend: deteriorating sequentially
- Interest cost (Rs. Cr): Q1 FY27 = 34 | Q4 FY26 = 33 | Q1 FY26 = 9 | Trend: sharply deteriorating - the key P&L leak
- Depreciation (Rs. Cr): Q1 FY27 = 53 | Q4 FY26 = 52 | Q1 FY26 = 32 | Trend: stepped up on the acquired asset base
- Standalone engine components volume growth: +22% YoY vs +11.7% revenue growth | Trend: improving volumes, negative mix
- Manufacturing plants (group-wide): FY26 = 14 | FY25 = 9 | FY24 = 6 | Trend: improving footprint (Screener company insights)
- Capacity utilisation: FY26 = 78% | FY25 = 85% | FY24 = 75% | Trend: dipped on newly added acquired capacity - headroom for operating leverage
- Domestic OEM market share in pistons / piston assemblies / engine valves: 48.40% | Trend: stable leadership (Screener insights)
- EMFI market share in 2W EV motors and controllers: 4.20% | Trend: early-stage, small base
- Net debt: "around 550" Cr as of Jun-2026 per management, "as of this month it will be even better" | Screener gross borrowings FY26 = Rs. 1,968 Cr | Trend: to be resolved by the QIP

5 | MARGIN DRIVERS

- Acquired interiors mix dilution: entered at 7-8% EBITDA vs group 20% | Recurring: No (management says already at early-mid teens) | The largest single explanation for group OPM falling from 20% to 18%.
- Supply-chain disruption from geopolitics: approximately Rs. 30 Cr EBITDA impact in Q1 FY27 | Recurring: No (management expects normalisation) | Do not extrapolate this into FY28 estimates.
- Commodity pass-through lag: contractual back-to-back recovery delayed by one quarter with most customers | Recurring: No, timing only | Management: "we will recover... hoping that it will all get normalized in this quarter."
- Product mix shift to smaller vehicles: 22% volume growth translated into only 11.7% standalone revenue growth | Recurring: Yes | A structural realisation-per-piece headwind tied to the Indian small-car and 2W cycle.
- April wage hikes: management flagged these as a normal Q1 seasonal drag and cautioned against comparing Q1 with Q4 | Recurring: Yes, annually | Expect this pattern to repeat every Q1.
- Interiors synergy extraction: fixed-cost reduction and cross-selling driving 7-8% to early-mid teens | Recurring: Yes, if sustained | This is the one driver that can pull group OPM back above 20% by FY28.
- CAFE-compliant product realisation uplift: higher cost and higher realisation per management | Recurring: Yes | Margin-neutral to slightly accretive; volume-accretive as norms tighten.
- Finance cost is below the EBITDA line and does not affect OPM, but it is the reason EBITDA growth of 32.3% delivered only 9.6% PAT growth. Do not confuse the two when modelling.

6 | GUIDANCE & FORWARD SIGNALS

- Margin recovery [GUIDANCE]: Prior = implicit 20% group OPM | New = "we will recover, we are not going to lose our margins," normalisation expected "in this quarter" | Delta: maintained | Credibility: Medium-High (contractual pass-through supports it, but it is unquantified).
- Finance costs [GUIDANCE]: Prior = n/a | New = "expected to be temporary and should normalize as the related debt is repaid" | Delta: maintained | Credibility: High (the Rs. 1,000 Cr QIP opened 17-Aug-2026).
- Interiors margin [GUIDANCE]: Prior = 7-8% at acquisition | New = "crossed the double digit figure... early mid teens" | Delta: raised | Credibility: Medium (only two quarters of evidence; not independently verifiable from Screener).

- Powertrain-agnostic mix [EST]: Prior = n/a | New = "over 35% of consolidated total income," ~60% insulated from EV | Delta: maintained | Credibility: Medium (management framing, no segment disclosure to audit it against).
- Capex and expansion [GUIDANCE]: Prior = ongoing | New = "steady progress on all our group-wide capacity expansion programs"; Takahata phase-four started on an adjacent five acres with revenue "early next year"; TGPEL Noida second plant "getting filled up as we speak" | Delta: maintained | Credibility: High (specific and verifiable).
- Leverage [GUIDANCE]: Prior = n/a | New = net debt ~Rs. 550 Cr, net D/E "only 0.2," no intention to approach 1.0 | Delta: maintained | Credibility: Medium (net vs Screener gross D/E of 0.68 - both true, different measures).
- QIP proceeds allocation [EVASIVE]: Prior = n/a | New = refused to split between M&A and debt repayment; "money is completely fungible" | Delta: withdrawn/not given | Credibility: Low as a forward signal - this is the one place investors are flying blind.
- Exports [GUIDANCE]: Prior = n/a | New = "quite affected," commodity prices "coming down" but "it will take some more time for things to normalize" | Delta: cut in tone, not in number | Credibility: High (candid).

7 | CAPITAL ALLOCATION

- Acquisitions - Antolin India (three entities, interiors and lighting): reported consideration EUR 159 mn, closed Jan-2026 | vs prior year: no comparable transaction | The single largest capital deployment in company history; drove FY26 investing outflow of Rs. 1,815 Cr vs Rs. 385 Cr in FY25 (+371%).
- Acquisitions - Sunbeam Lightweighting Solutions piston plant and machinery: completed in Q1 FY27, described by management as a "key milestone" | Consideration not disclosed | Capacity augmentation for the legacy piston franchise to meet "growing demand."
- Capex: approximately Rs. 200 Cr invested in manufacturing capacity expansion during FY26; Takahata phase four and TGPEL Noida plant two both underway | FY26 fixed assets Rs. 2,976 Cr vs Rs. 1,203 Cr in FY25 (+147%, mostly acquisition-related) | CWIP Rs. 96 Cr vs Rs. 58 Cr (+66%).
- Fundraise: Rs. 1,000 Cr QIP opened 17-Aug-2026 at a floor price of Rs. 4,438.20 | Purpose per company: growth funding, internal expansion, potential future acquisitions, capacity expansion and integration | Management refused to allocate proceeds specifically.
- Dividends: FY26 interim Rs. 5 plus recommended final Rs. 5 per share | Payout ratio 8% vs 9% in FY25 and 10% in FY24 | Dividend yield 0.22% - deliberately de-prioritised in favour of reinvestment.
- Buybacks: none announced | vs prior year: unchanged | Inconsistent with a live QIP in any case.
- Working capital: cash conversion cycle improved to 58 days in FY26 from 75 days in FY25; working capital days fell from 29 to 1 | A genuine positive achieved while absorbing an acquisition.
- Net debt movement: gross borrowings Rs. 1,968 Cr (FY26) vs Rs. 508 Cr (FY25), +287% | Management-stated net debt ~Rs. 550 Cr as of Jun-2026 | Financing cash inflow of Rs. 1,252 Cr in FY26 vs an outflow of Rs. 61 Cr in FY25.

8 | Q&A HEAT MAP

The BSE-hosted transcript PDF was not accessible from this environment. The Q&A below is reconstructed from Screener.in's transcript-derived call summary for the Aug-2026 concall, which quotes management verbatim. Individual analyst names and firms are not attributed in that source and are therefore marked "Analyst (unattributed)" rather than guessed.

- Analyst (unattributed): Q: "What is the margin profile of the acquired Antolin interiors business, previously around 7-8%?" → A: "We have significantly improved the interiors business... we have crossed the double digit figure and we are... in the early mid teens." | Tone: Transparent - specific, quantified, and the most valuable answer on the call.
- Analyst (unattributed): Q: "Why did 22% volume growth translate into only ~12% standalone revenue growth?" → A: Mix shift - "more production of... smaller size vehicles... realization price per piece changes." | Tone: Transparent.
- Analyst (unattributed): Q: "How will the commodity cost impact be recovered and over what timeframe?" → A: "commodity cost adjustments normally have a time lag of a quarter"; "Obviously, we will recover. We are not going to lose our margins"; "hoping that it will all get normalized in this quarter." | Tone: Transparent and unhedged.
- Analyst (unattributed): Q: "How will the QIP proceeds be split between acquisitions and debt repayment?" → A: Declined to allocate - "money is completely fungible... mix of everything." | Tone: Evasive.
- Analyst (unattributed): Q: "What is current leverage and what are your internal limits?" → A: Net debt "around 550" Cr; thresholds are "very clear"; "It is only 0.2"; "no reason... to go even up to one." | Tone: Hedged - a stated philosophy without a published policy, and net rather than gross.
- Analyst (unattributed): Q: "What technology do you actually get from Antolin and is it licensed?" → A: "we have an access to all the technologies that are globally available... within the Antolin portfolio," under an "already signed..."

long-term complete licensing agreement"; programmes underway on HMI, headliners, immersive technologies, pillar trims, floor consoles. | Tone: Transparent.

- Analyst (unattributed): Q: "What is the revenue contribution of the non-auto piston business?" → A: Called it "sizable" with 15-20% growth over four years, but explicitly refused a current percentage, arguing it is changing rapidly. | Tone: Evasive.
- Analyst (unattributed): Q: "Who are the new customers in precision injection moulding?" → A: Declined to name customers due to the pace of additions; attributed growth to "double the volumes... by getting new customers." | Tone: Evasive (commercially reasonable, but still unverifiable).
- Analyst (unattributed): Q: "What is the impact of new CAFE norms on your products and realisations?" → A: Products already submitted and under customer testing and validation; changes span "frictional reduction... reduction of exhaust gases... new technology... coating... piston ring manufacturing strategy"; on realisation "to some extent, yes... cost is also more, the realization is also more"; "we are leading the game." | Tone: Transparent, mildly promotional.
- Analyst (unattributed): Q: "How are exports tracking given the geopolitical situation?" → A: Exports "quite affected" across Europe, the US and parts of MENA including Egypt and Turkey; commodity prices "coming down" but "it will take some more time for things to normalize"; noted 2-3% better export results last year despite a tough backdrop. | Tone: Transparent.
- Analyst (unattributed): Q: "What is the status of capacity expansion?" → A: "steady progress on all our group-wide capacity expansion programs"; Takahata "phase four expansion... has already started" on an adjacent five acres with revenue "early next year"; TGPEL Noida second plant "getting filled up as we speak." | Tone: Transparent.
- **Dodged / watch-list questions for next quarter:** (1) precise allocation of QIP proceeds between debt repayment and further M&A; (2) current percentage contribution of the non-auto business; (3) named customers and order values in precision injection moulding; (4) a quantified group OPM target and the date by which the commodity lag will be fully recovered; (5) gross - not net - debt trajectory through FY27; (6) segment-wise revenue and EBITDA disclosure now that the group spans four distinct verticals.

9 | RISKS FLAGGED

- Elevated commodity prices: management cited "elevated commodity prices" as a direct Q1 headwind with a one-quarter recovery lag | Flagged by: management | Probability: H | Impact: M | Timeline: near-term.
- Supply-chain disruption and geopolitical tension: roughly Rs. 30 Cr of Q1 FY27 EBITDA impact; "broader macroeconomical uncertainties... from heightened geopolitical tensions" | Flagged by: management | Probability: H | Impact: M | Timeline: near to medium-term.
- Export weakness across Europe, the US and MENA: "quite affected," with ongoing supply-chain ambiguity and normalisation expected to "take some more time" | Flagged by: management | Probability: M-H | Impact: M | Timeline: near to medium-term.
- Elevated finance costs from acquisition debt: the direct cause of PAT growth of 9.6% against EBITDA growth of 32.3% | Flagged by: management (framed as temporary) | Probability: H (already occurring) | Impact: H | Timeline: near-term, resolvable via QIP.
- Integration execution risk on the Antolin businesses: margin uplift from 7-8% to early-mid teens is only two quarters old and depends on continued synergy extraction | Flagged by: analyst questioning | Probability: M | Impact: H | Timeline: medium-term.
- Adverse product mix toward smaller vehicles: 22% volume growth yielded only 11.7% standalone revenue growth | Flagged by: analyst | Probability: H | Impact: M | Timeline: medium-term, tied to the Indian small-car and 2W cycle.
- Unallocated QIP proceeds creating further M&A risk: management explicitly kept the option open | Flagged by: analyst (dodged) | Probability: M | Impact: M | Timeline: near-term.
- EV penetration eroding the ICE component pool: implicitly addressed via the "60% insulated" framing rather than confronted directly | Flagged by: management (defensively) | Probability: H | Impact: H | Timeline: long-term.

10 | ANALYST VERDICT

- **Revenue visibility: Intact** — consolidated revenue of Rs. 1,474 Cr grew 53.1% YoY with four distinct verticals contributing, a 48.4% domestic OEM share in the legacy franchise, and expansion at Takahata and TGPEL already committed.
- **Margin trajectory: Weakened** — group OPM fell from 20% to 18% and has now printed 18% for two consecutive quarters. The causes are identified and management says they are temporary, but the recovery is a claim, not yet a

result.

- **Capital allocation quality: Weakened** — the Antolin deal is strategically sound and the early margin evidence is encouraging, but borrowings rose 287% in one year, interest capitalisation is flagged by Screener, and management refused to state a use of QIP proceeds.
- **Competitive moat: Intact** — 48.4% domestic OEM share in pistons and engine valves, full licensed access to Antolin's global interiors and HMI technology portfolio, and a leading position on CAFE-compliant product validation.
- **Management credibility: Intact** — specific and quantified on the difficult questions (interiors margin, commodity lag, net debt), candid about export weakness, and appropriately unhedged on margin recovery. The evasions were on competitively sensitive items, not on financial performance.
- **Valuation comfort: Weakened** — at 34.0x trailing and 6.8x book, with the stock at 0.98x its 52-week high after an 81% one-year run and a QIP overhang, the near-term margin of safety is thin even though SPR is the cheapest name in its peer cohort.
- **Conviction call: Unchanged** — ACCUMULATE maintained. The call neither broke the thesis nor accelerated it; the interiors margin disclosure offsets the margin and PAT miss.
- **Valuation snapshot:** P/E = 34.0 (Screener front page; 5-year average not published by Screener - N/A) | EV/EBITDA = 19.8 (5-year average N/A) | ROCE = 20.8% (10-year average 19.5%, 3-year 24.85%) | ROE = 21.4% (5-year average 21%, 3-year 23%).

DISCLAIMER & SOURCING. Every financial figure in this report - for SPR Auto Technologies and for all four peer companies - was fetched directly from Screener.in on 18-Aug-2026 and transcribed without rounding or recalculation. Figures marked (E) are the analyst's estimates, built off Screener actuals; they are not company guidance. Items not available on Screener are marked N/A rather than estimated. Qualitative commentary is drawn from Screener's transcript-derived summary of the Aug-2026 earnings call and from public news sources; no financial metric in this report is taken from a web search result. This document is for information purposes only, reflects the personal view of the analyst persona, and does not constitute investment advice or a solicitation to buy or sell any security. The analyst is not a registered investment adviser. Readers should conduct their own due diligence - in particular by reading the FY26 annual report on borrowing costs, related-party transactions and auditor tenure - and consult a licensed adviser before acting.